

Notes: Lamont, Polk, and Saá-Requejo (RFS, 2001)

Financial Constraints and Stock Returns

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1 Big picture

- **Question.** Do firms that appear financially constrained have stock returns that move together, suggesting exposure to a common “financial constraints” shock?
- **Core idea.** If financial constraints affect firm value, then news about the tightness of financing constraints should appear in stock prices. Firms that are more constrained should covary when financing conditions change.
- **What the paper does.** The paper constructs portfolios of manufacturing firms sorted by size and by a Kaplan-Zingales-style financial constraints index, then builds a zero-cost financial constraints factor that is long constrained firms and short unconstrained firms.
- **Main evidence.** Constrained firms’ returns comove. The financial constraints factor loads positively in return regressions for high-KZ firms, even after controlling for size-matched portfolios.
- **Asset-pricing result.** The financial constraints factor earns a negative average return in the 1968–1997 sample. This means constrained firms do not earn a positive unconditional risk premium in this period.
- **Relation to existing factors.** Standard factors such as market, size, value, momentum, term, and default returns explain only part of the financial constraints factor, and the alpha of the constraints factor remains negative in several specifications.
- **Macro result.** The constraints factor is not strongly related to common macro variables, including monetary policy, credit conditions, leading indicators, or real money growth.
- **Takeaway.** Financial constraints appear to be a common source of covariance in stock returns, but their return premium and macroeconomic interpretation are more puzzling than simple financial accelerator theories predict.

2 Incremental contribution of the paper

2.1 Contribution to corporate finance

- Before this paper, financial constraints were often studied using investment-cash flow sensitivities or firm-level investment regressions.
- Lamont, Polk, and Saa-Requejo move the question to asset prices: if constraints matter for firm value, then changes in constraints should create common variation in stock returns.
- This converts financial constraints from a corporate-investment object into an empirical asset-pricing object.

Interpretation: The paper’s first contribution is methodological: it proposes stock-return covariance as a test for whether financial constraints are an economically meaningful common shock.

2.2 Contribution to empirical asset pricing

- The paper constructs a factor based on a corporate-finance theory of financial constraints rather than on a known return anomaly.
- This differs from factor construction based on size, value, or momentum, which were often motivated by return patterns.
- The constraints factor is designed to measure an economic mechanism, not simply to explain average returns.

Interpretation: The paper asks whether an economically meaningful characteristic creates a return factor, even if that factor does not earn the expected premium.

2.3 Contribution to the KZ-index literature

- Kaplan and Zingales developed a classification of constrained firms based on investment and financing data.
- This paper converts the KZ logic into annual portfolio sorts for public manufacturing firms.
- It then asks whether high-KZ firms covary with each other and whether those common movements are priced.

Interpretation: The paper extends the KZ approach from firm-level classification to return-factor construction.

2.4 Contribution to macro-finance

- Macroeconomic financial accelerator models suggest that credit conditions and monetary policy should affect constrained firms especially strongly.
- The paper directly tests whether the return factor constructed from constrained firms is connected to leading indicators, money growth, interest rates, discount rates, or commercial paper spreads.
- The weak macro correlations suggest that the stock-market factor captures something not easily summarized by standard macro credit indicators.

Interpretation: The paper’s negative macro result is itself a contribution: it disciplines simple stories that identify the constraints factor with monetary policy or credit conditions.

3 Data and measurement

3.1 Firm universe

- The sample consists of NYSE, AMEX, and NASDAQ manufacturing firms with Compustat accounting data and CRSP returns.
- The main return sample runs from July 1968 to December 1997.
- Manufacturing firms are used because the KZ-index construction requires comparable accounting variables.
- Portfolio sorts are updated each June using accounting information from the previous fiscal year and market capitalization measured before portfolio formation.

Interpretation: The sample is intentionally narrower than the full CRSP universe so that the accounting-based financial constraints measure is meaningful.

3.2 KZ index

The paper uses a Kaplan-Zingales-style index based on accounting variables:

$$\begin{aligned} KZ_i = & -1.001909 \frac{CashFlow_i}{K_i} + 0.2826389 Q_i + 3.139193 \frac{Debt_i}{TotalCapital_i} \\ & - 39.3678 \frac{Dividends_i}{K_i} - 1.314759 \frac{Cash_i}{K_i}. \end{aligned} \tag{1}$$

- High KZ values correspond to firms classified as more financially constrained.

- The index increases with leverage and Tobin's Q .
- It decreases with cash flow, dividends, and cash holdings.

Interpretation: The index combines both financing need and financial slack. Firms with high investment opportunities but low internal funds, low dividends, low cash, and high leverage are classified as constrained.

3.3 Base portfolios

Each June, firms are independently sorted by:

1. market capitalization into low-cap, mid-cap, and high-cap groups;
2. KZ index into low-KZ, middle-KZ, and high-KZ groups.

This gives nine base portfolios:

$$LS, MS, HS, LM, MM, HM, LB, MB, HB, \quad (2)$$

where the first letter indicates the KZ category and the second letter indicates the size category.

Interpretation: The independent size and KZ sorts are designed to separate financial constraints from size, because smaller firms are often more constrained but size itself is a major return factor.

3.4 Financial constraints factor

The baseline financial constraints factor is:

$$\text{HIGHKZ} = \frac{HS + HM + HB}{3}, \quad (3)$$

$$\text{LOWKZ} = \frac{LS + LM + LB}{3}, \quad (4)$$

$$\text{FC} = \text{HIGHKZ} - \text{LOWKZ}. \quad (5)$$

- FC is long financially constrained firms and short unconstrained firms.
- It is designed to be neutral with respect to size by averaging across size groups.
- The authors also construct alternative constraints factors, FCIND and FCDGTW, that control for industry and additional characteristics.

Interpretation: The factor is a portfolio return. If constrained firms face common shocks, then FC should help explain their returns.

4 Empirical specifications

4.1 Covariation regressions

For each base portfolio, the paper estimates regressions of the form:

$$R_t^p = \alpha + \beta_{BIG} BIG_t + \beta_{SMALL} SMALL_t + \beta_{FC} FC_t + \varepsilon_t. \quad (6)$$

- R_t^p is the return on a size-KZ portfolio.
- BIG_t and $SMALL_t$ are reference portfolios constructed to match the size category of portfolio p .
- FC_t is the constraints factor constructed from portfolios that exclude the dependent portfolio.
- The coefficient β_{FC} tests whether a portfolio covaries with the constraints factor after controlling for size-matched return movements.

Interpretation: If financial constraints create common shocks, high-KZ portfolios should have positive exposure to FC, while low-KZ portfolios should have weaker or negative exposure.

4.2 Alternative constraints factors

The paper repeats the covariation tests using two alternative factors:

- FCIND: matches high-KZ firms to less-constrained firms in the same four-digit SIC industry.
- FCDGTW: controls for size, book-to-market, and momentum in the style of Daniel, Grinblatt, Titman, and Wermers.

Interpretation: These alternative factors ask whether the baseline result is really a constraints factor or is instead driven by industry, value, size, or momentum characteristics.

4.3 Switching test

The paper builds two portfolios:

- FC_{SWITCH} : firms whose constraint status changes between years.
- FC_{STAY} : firms whose constraint status does not change.

The test checks whether covariance rises when the two portfolios have similar constraint status and falls when their status is dissimilar.

Interpretation: This test is dynamic. It asks whether covariance follows changes in constraint status, not only permanent firm characteristics.

4.4 Asset-pricing regressions

The constraints factor is regressed on standard factors:

$$FC_t = \alpha + \beta_M(R_M - R_F)_t + \beta_H HML_t + \beta_S SMB_t + \varepsilon_t. \quad (7)$$

The extended specification adds term, default, and price momentum factors:

$$FC_t = \alpha + \beta_M RM-RF_t + \beta_H HML_t + \beta_S SMB_t + \beta_T TERM_t + \beta_D DEF_t + \beta_P PRIYR_t + \varepsilon_t. \quad (8)$$

Interpretation: These tests ask whether standard asset-pricing factors explain the mean return and variation of the financial constraints factor.

4.5 Macro regressions

The paper estimates regressions of portfolio returns on contemporaneous and lagged macro variables:

$$R_t = c_0 + \sum_{j=0}^3 c_j MACRO_{t-j} + \varepsilon_t. \quad (9)$$

The macro variables include:

- growth in the leading economic indicator index;
- changes in the Stock-Watson XLI index;
- growth in real M2;

- changes in the federal funds rate;
- changes in the discount rate;
- changes in the commercial-paper spread.

Interpretation: This specification asks whether the constraints factor moves with monetary policy, credit conditions, or business-cycle news.

5 Identification and interpretation

5.1 What is identified

- The paper identifies whether firms classified as financially constrained have stock returns that comove after controlling for size and other factors.
- It does not identify a single structural source of constraints.
- It does not prove that financial constraints cause low average returns.
- It does show that the constraint classification contains return-relevant information.

Interpretation: The strongest evidence is about covariance. The risk-premium and macro interpretations are more ambiguous.

5.2 Why comovement matters

If financial constraints were purely idiosyncratic, high-KZ firms would not necessarily move together. Common return movements imply that constrained firms are exposed to shared shocks.

Interpretation: The existence of a constraints factor is evidence that financial constraints are not only firm-specific accounting states; they have systematic market-wide components.

5.3 Why negative mean returns are puzzling

The baseline *FC* factor has a negative average return. If financial constraints were a conventional risk factor that is bad in bad states, investors should demand a positive premium for holding constrained firms. The data show the opposite in this sample.

Interpretation: This result complicates the simple view that financially constrained firms should earn higher returns as compensation for bearing constraints risk.

5.4 Limitations

- The KZ index is an imperfect proxy for financial constraints.
- The sample is manufacturing firms with available accounting data.
- The constraints factor is constructed from characteristics and may capture omitted characteristics.
- Macro variables may be too coarse to capture the true shocks affecting constrained firms.
- The sample contains a large negative performance period for constrained firms in the 1980s, which strongly affects average returns.

Interpretation: The paper is best read as an important empirical test of whether financial constraints show up in stock return covariance, not as the final word on the expected return premium for constrained firms.

Table 3
Covariance tests using alternative measures of the constraints factor, 68:7-97:12

		CONSTANT	BIG	SMALL	PCIND	R ²	CONSTANT	BIG	SMALL	FCDGTW	R ²
Low-cap firms (smaller)											
Low KZ	LS	-0.16 (1.16)	0.25 (5.03)	0.75 (17.70)	0.09 (1.10)	0.96 (1.71)	-0.24 (5.32)	0.27 (19.73)	0.77 (1.93)	-0.19 (2.46)	0.86 (0.03)
Middle KZ	MS	0.27 (2.08)	0.35 (7.83)	0.64 (17.70)	0.28 (4.24)	0.88 (2.01)	0.26 (6.68)	0.32 (19.73)	0.68 (2.44)	0.26 (5.32)	0.88 (0.11)
High KZ	HS	-0.13 (1.08)	0.21 (4.96)	0.84 (21.65)	0.36 (5.55)	0.91 (1.30)	-0.17 (5.46)	0.17 (24.34)	0.91 (2.76)	0.52 (7.33)	0.26 (0.19)
Mid-cap firms											
Low KZ	LM	-0.20 (1.92)	0.58 (16.02)	0.51 (18.01)	0.09 (1.77)	0.91 (1.92)	-0.20 (16.02)	0.58 (17.76)	0.51 (1.28)	0.10 (1.28)	0.91 (0.92)
Middle KZ	MM	0.04 (0.47)	0.62 (19.29)	0.46 (17.94)	0.23 (4.74)	0.93 (0.11)	0.05 (18.64)	0.60 (18.43)	0.49 (0.79)	0.06 (0.79)	0.92 (0.91)
High KZ	HM	-0.50 (2.69)	0.78 (17.84)	0.43 (12.51)	0.42 (7.24)	0.92 (2.76)	-0.51 (17.26)	0.77 (12.31)	0.43 (3.51)	0.21 (5.51)	0.91 (0.71)
High-cap firms (bigger)											
Low KZ	LB	0.14 (1.04)	1.00 (18.65)	-0.30 (6.40)	-0.07 (1.00)	0.70 (0.90)	0.13 (18.62)	1.00 (8.11)	-0.29 (1.34)	-0.15 (2.34)	0.71 (0.74)
Middle KZ	MB	0.20 (1.38)	1.13 (19.63)	-0.13 (6.77)	0.13 (2.01)	0.74 (0.97)	0.14 (19.22)	1.11 (8.55)	-0.28 (1.45)	-0.19 (2.45)	0.74 (0.84)
High KZ	HB	-0.22 (1.70)	1.26 (25.23)	-0.20 (8.61)	0.17 (2.30)	0.84 (1.40)	-0.22 (25.09)	1.26 (8.41)	-0.20 (1.70)	0.20 (3.70)	0.84 (0.71)

Alternative ways of performing the covariance analysis of the nine value-weighted KZ-size-sorted portfolios performed in Table 2. We replace the FC with financial constraints factors that are merged of well-known sources of such return variables. Like FC, PCIND gives long an HGBRZ, but has a different short portfolio size. FC, the short portfolio consists of the nine firms in the bottom third of the KZ index at the end of year $t-1$ and which also have data available to construct the KZ index in year $t-6$. FCDGTW goes long on firms that are constrained in both year t and in year $t-5$ and goes short on firms that are unconstrained in both year t and in year $t-5$. In other words, FCDGTW takes positions in firms that were in bottom or top third of KZ rankings at the end of year $t-1$ and that were in that same third at the end of year $t-6$. FCDGTW consists of firms in the FC portfolio in year t but which are not in FCDGTW. In other words, FCDGTW takes positions in firms that were in bottom or top third of KZ rankings at the end of year $t-1$ but that were not in that same third at the end of year $t-6$. Both portfolios are size-stratified in a manner similar to the FC portfolio defined in Table 1, except the stratification is based on conditional (not independent) sorts. The size stratification is based on splitting the long (or short) portfolio in year $t-j$ into thirds based on market value year $t-j$. Both FCDGTW and FCDGTW are value-weighted portfolios based on market capitalization at the end of year $t-1$. "Percent switching" in year $t-j$ shows the percentage of firms in the FCDGTW portfolio that are not in the same bottom or top third of KZ rankings as they are in year $t-1$. "Covariance" is the time-series covariance of FCDGTW and FC-STAY. Regression results show the ordinary least squares coefficient of FCDGTW on FC-STAY. t -statistics are in parentheses. The sample period is 1973:7-1992:6.

Table 3: alternative constraints factors

Table 4: switching and covariance

6.3 Table 5 and Figure 1: factor summary and cumulative returns

Read:

- Table 5 reports correlations and summary statistics for FC , $FCIND$, $FCDGTW$, market, size, value, and momentum factors.
- The FC factor is positively correlated with size-related factors but is not identical to them.
- Figure 1 shows cumulative returns for FC and $SIZE$.
- The FC factor performs well in the early sample but declines sharply after 1980.
- The timing differs from the size factor, suggesting the FC factor is not just a size factor.

Economic message: Constraints and size are related but distinct. The negative average return of FC is driven largely by its poor performance after 1980.

Table 5
Summary statistics for factor returns, 68:7-97:12

	FC	FCIND	FCDGTW	RM-RF	HML	SMB	SIZE
Correlation matrix							
FCIND	0.91*						
FCDGTW	0.74*	0.80*					
RM-RF	0.41*	0.42*	0.39*				
HML	-0.09	-0.07	-0.23*	-0.39*			
SMB	0.45*	0.54*	0.52*	0.32*	-0.14*		
SIZE	0.22*	0.41*	0.36*	0.10	0.13	0.81*	
Other summary statistics							
Mean	-0.13	-0.12	-0.14	0.52	0.44	0.19	0.08
SD	2.20	1.96	1.36	4.47	2.62	2.89	4.70
Min	-5.07	-5.13	-3.77	-23.09	-10.04	-9.91	-12.92
Max	7.25	7.23	5.17	16.05	9.32	10.68	17.91

Summary statistics of the returns on three versions of the financial constraints factor, a size factor specific to our particular sample, and three other factors used in previous research. All data are monthly percent returns, July 1968 to December 1997. We define the financial constraints factors—FC, FCIND, FCDGTW—in Tables 1, 2, and 3. The portfolio SIZE is a constraint-stratified portfolio: $SIZE = (LS+MS+HS-LB-MB-HB)/3$.

The following three factors come from Fama and French (1993): RM-RF, the market factor, is the return on a value-weighted portfolio of NYSE/AMEX/NASDAQ stocks minus the return on a portfolio of Treasury bills. HML is high minus low, which measures the high-minus-low factor has robustness to returns from a portfolio of high book-to-market firms minus from the returns

Table 5: factor summary statistics

6.4 Table 6 and Table 7: pricing tests

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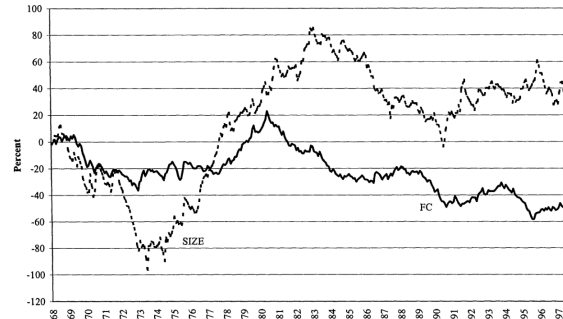


Figure 1
Cumulative returns
Cumulative returns are the sum of monthly returns. The FC portfolio is the returns on a group of constrained firms minus the returns on a group of unconstrained firms. The SIZE portfolio is the returns of small firms minus large firms. Details are in Tables 1 and 4.

show (approximately) the percent total return on the long portfolio minus the total return on the short portfolio. The Figure shows that from July 1968

Figure 1: cumulative returns of FC and SIZE

- Table 6 regresses the constraints factor on CAPM, Fama-French, and extended factor models.
- The alpha remains negative in most specifications.
- Standard factors explain only part of the variation in the constraints factor.
- Table 7 tests whether *FC* helps price other anomalies such as IPO underperformance and dividend omissions.
- The constraints factor adds little explanatory power for these other anomaly portfolios.

Economic message: The constraints factor is a real covariance object, but it does not behave like a standard positively priced risk factor.

Table 6
Pricing tests on financial constraints factor

	α	RM-RF	HML	SMB	TERM	DEF	PR1YR	R^2
FC								
CAPM	-0.23 (2.12)	0.20 (8.47)						0.17
FF three-factor	-0.26 (2.59)	0.16 (6.59)	0.08 (1.97)	0.27 (7.47)				0.29
FF five-factor plus price momentum	-0.32 (2.97)	0.22 (7.67)	0.09 (2.20)	0.28 (6.55)	-0.15 (3.62)	-0.29 (3.09)	0.03 (1.02)	0.35
FCIND								
CAPM	-0.21 (2.24)	0.18 (8.78)						0.18
FF three-factor	-0.25 (3.00)	0.14 (6.87)	0.09 (2.75)	0.32 (10.36)				0.38
FF five-factor plus price momentum	-0.26 (2.88)	0.19 (7.82)	0.10 (2.85)	0.31 (8.85)	-0.12 (3.69)	-0.31 (4.01)	-0.01 (0.54)	0.44
FCDGTW								
CAPM	-0.19 (2.87)	0.12 (7.96)						0.15
FF three-factor	-0.16 (2.65)	0.07 (4.45)	-0.04 (1.73)	0.21 (9.42)				0.33
FF five-factor plus price momentum	-0.15 (2.34)	0.10 (5.85)	-0.03 (1.04)	0.19 (7.22)	-0.10 (4.15)	-0.18 (3.19)	-0.03 (1.29)	0.38

Results from asset-pricing tests of the three financial constraints factors—FC, FCIND, FCDGTW—defined in Tables 1, 2, and 3. The asset pricing models are the CAPM, the Fama and French (1993) three-factor model, and the Fama-French five-factor model plus price momentum. The CAPM consists solely of the Fama-French market proxy, RM-RF. The Fama-French three-factor model adds the HML and SMB portfolios to the CAPM specification. We describe these portfolios in Table 5. The Fama-French five-factor model plus price momentum adds three additional portfolios to the three-factor model. These portfolios include TERM, the return on a portfolio of long-term government bonds minus the return on Treasury bills, DEFAULT, the return on a portfolio of corporate bonds minus the return on a portfolio of long-term government bonds, and Carhart's (1997) PR1YR, which is a portfolio return constructed by subtracting the returns from a portfolio experiencing low returns in the past 11 months from the returns of a portfolio experiencing high returns in the past 11 months. Due to data constraints, the five-factor model plus price momentum regressions only cover the July 1968 to December 1995 period. All other regressions use the full sample.

Table 6: pricing tests on the constraints factor

	α	RM-RF	HML	SMB	FC	$\bar{R}^2$
Initial public offerings						
	-0.30 (1.91)	0.98 (24.38)	-0.24 (3.46)	1.18 (18.52)		0.89
	-0.25 (1.59)	0.94 (22.38)	-0.24 (3.48)	1.13 (17.61)	0.25 (3.06)	0.89
Dividend omissions						
	-0.49 (2.71)	1.11 (25.83)	0.74 (10.32)	1.52 (23.55)		0.87
	-0.51 (2.69)	1.10 (23.26)	0.74 (10.15)	1.48 (19.65)	0.11 (1.08)	0.87

Regressions of two excess return series on various combinations of the Fama-French three factors and the financial constraints factor, FC. The first portfolio is an equal-weighted portfolio of firms who in the last five years have had an IPO. The regression is estimated from January 1977 to December 1994; the data are from Brav and Gompers (1997). The second portfolio is an equal-weighted portfolio of firms who in the last three years have omitted a dividend. We construct this portfolio using data from Michaely et al. (1995). That portfolio contains 885 total firms from May 1965 to November 1990.

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Table 7: constraints factor and other assets

6.5 Table 8 and Table 9: macro variables and KZ index construction

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- Table 8 regresses returns on *SIZE* and *FC* on macroeconomic indicators.
- *SIZE* shows more connection to some macro variables than *FC*.
- The constraints factor is not strongly related to monetary policy or credit condition proxies.
- Table 9 gives the ordered logit coefficients used to construct the KZ index.
- Dividends, debt, cash flow, Tobin's *Q*, and cash holdings all enter the index.

Economic message: The constraints classification is grounded in KZ accounting variables, but the resulting factor does not map cleanly into standard macro policy or credit measures.

Table 8
Macro variables and stock returns

	Dependent variable: SIZE			Dependent variable: FC		
	c_0	$\sum_{j=0}^3 c_j$	R^2	c_0	$\sum_{j=0}^3 c_j$	R^2
$\Delta \ln(\text{LEI index})$	2.04 (2.68)	2.20 (2.18)	0.04	-0.14 (0.38)	0.56 (1.16)	0.03
$\Delta \text{XLI index}$	0.20 (0.98)	1.51 (4.34)	0.06	-0.15 (1.57)	0.13 (0.81)	0.03
$\Delta \ln(\text{real M2})$	1.07 (1.26)	1.11 (1.52)	0.02	0.62 (1.55)	-0.01 (0.04)	0.01
$\Delta \text{Fed funds rate}$	-0.14 (0.36)	-2.07 (3.52)	0.04	0.10 (0.52)	-0.10 (0.37)	0.00
$\Delta \text{Discount rate}$	-0.26 (0.23)	-3.64 (2.73)	0.04	0.31 (0.57)	-0.29 (0.45)	0.00
$\Delta \text{CP spread}$	-3.64 (3.67)	-7.52 (3.67)	0.06	-0.16 (0.34)	-0.79 (0.80)	0.00

This table shows results from a regression of two monthly portfolio returns on current and three lagged values of macroeconomic variables, of the form $R_t = a + \sum_{j=0}^3 c_j \text{MACRO}_{t-j} + \varepsilon_t$, where R is the portfolio return and MACRO represents the macroeconomic variable. We report both the contemporaneous coefficient, c_0 , and the sum of the contemporaneous and lagged coefficients.

The two return series are SIZE and FC. SIZE is a constraints-neutral size factor and is defined in Table 5. FC is a size-neutral financial constraints factor and is defined in Table 1.

For each of the two return series, we run six different regressions on six different macroeconomic variables. LEI is the index of leading economic indicators prepared by the Conference Board (formerly produced by the Department of Commerce), adjusted to exclude the stock price component of the index; it is available from July 1968 to October 1997. XLI is the Stock and Watson (1989) experimental leading indicator, expressed in units of forecast percent change in economic activity; it is available from July 1968 to December 1997. Real M2 is M2 in billions of 1992 dollars, available from July 1968 to October 1997. The Fed funds rate and the discount rate are both available from July 1968 to December 1997. The CP spread is the difference between the commercial paper yield and the six-month Treasury bill yield, available from July 1968 to August 1997. All series are expressed in percent terms. t -statistics are in parentheses.

Table 8: macro variables and returns

Table 9
Ordered logit from Kaplan and Zingales

Cash Flow/ K	-1.002 (0.234)
Q	0.283 (0.078)
Debt/Total capital	3.139 (0.449)
Dividends/ K	-39.368 (6.097)
Cash/ K	-1.315 (0.289)
Log likelihood	-699.2
Pseudo- R^2	0.134

This table reports the results of a restricted version of the central regression of Kaplan and Zingales (1997) run by Steven N. Kaplan. The regression is restricted to only those independent variables that are available on COMPUSTAT. We define these variables in the Appendix. The number of observations is 719. Standard errors are in parentheses.

(liabilities and stockholders' equity—total) and the sum of data items 9 (long-term debt) and 34 (debt in current liabilities), and 216 (stockholders' equity—total) to be nonzero as the resulting values are in the denominator of ratios used in the construction of the Kaplan and Zingales (1997) Q variable.

Table 9: ordered logit for the KZ index

7 Short summary

- The paper tests whether financial constraints show up as common variation in stock returns.
- It constructs a KZ-based constraints factor, FC , that is long constrained firms and short unconstrained firms.
- High-KZ firms have high leverage, low dividends, low cash flow, and other characteristics consistent with constraints.
- Constrained firms' stock returns covary with the constraints factor.
- The result survives alternative constructions that control for industry and characteristics.
- Dynamic switching evidence supports the interpretation that covariance follows constraint status.
- The constraints factor has a negative average return over 1968–1997.
- Standard pricing factors do not fully explain the factor but also do not turn it into a positive risk premium.
- The factor is not strongly related to standard macro, monetary policy, or credit variables.
- The central contribution is to show that financial constraints are visible in stock-return covariance, even though their pricing and macroeconomic interpretation are puzzling.

8 Conclusion

8.1 Core conclusion

Lamont, Polk, and Saa-Requejo show that financially constrained firms have stock returns that move together. This supports the idea that financial constraints are not only firm-level accounting characteristics but also reflect common shocks that affect groups of firms.

8.2 Economic intuition

If credit conditions or financing frictions tighten unexpectedly, firms that depend more heavily on external finance should be affected more strongly. Their stock prices should therefore fall together. The paper finds evidence for such common variation by constructing a portfolio long constrained firms and short unconstrained firms.

8.3 Interpretive tension

The existence of comovement supports the relevance of financial constraints, but the negative average return of constrained firms complicates a simple risk-premium story. Constrained firms appear risky in covariance terms, but investors are not rewarded with higher average returns in this sample.

8.4 Takeaway

The paper's main lesson is that financial constraints are empirically visible in the factor structure of returns, but not in the simple way one might expect from standard risk compensation. This makes the paper important for both corporate finance and asset pricing.